

One of my most important experiences was being on the floor on the day of the 1987 crash. Seeing that day taught me that anything can happen.

How did it feel when you got out of the position?

It felt good [he laughs].

I assume you would have lost more if you stayed with the position?

A lot more. The put options went up so much by the end of the day that I probably would have been down several hundred thousand dollars if I stayed with the position. They crushed the market on the close, and the volatility went insane. The puts that I covered at 20 probably went as high as 200.

Since you had taken the account into a deficit, you obviously couldn't trade. What happened next?

The firm had a standard policy of replenishing traders' accounts with \$25,000 if you blew through the first \$25,000. You would become a prop trader for the firm.

It seems like an odd structure. What was the logic of the firm giving traders additional money after they lost the initial stake?

They felt that there was a good probability you would chew through the initial capital, which was partly your own money, because of the learning curve. They figured you would have a better chance once you had the experience. Also, they were earning commissions off your trades, so if you just broke even, they would do quite well. It was in their interest to try to keep you trading.

How did you do with the second \$25,000?

I floundered and had gone through part of that capital as well when a friend of mine, who was a market maker, approached me with an offer to trade a \$50,000 prop account for him and another guy. The deal was that they would allow me to lose \$30,000 before pulling the plug on the account. I wasn't doing well with the Fossett account, so I made the switch.

Since you hadn't made any money, on what basis was he offering you the account?